RAM ENTERPRISE P&P 02_INVESTEMENT

Document quality

Item	Details
Organization	RAM Governance Portal
Document Title	02_INVESTEMENT
Document Code	RAM-PROC-013
Process Area	02_INVESTEMENT
Document Type	Procedure
Version	1.0
Effective Date	01 Jan 2026
Review Cycle	Annual
Owner	CEO / CFO
Approved By	CEO / Board
Prepared By	Governance Office
Classification	Internal
Next Review	Jan 2027

Revision History

Version	Date	Author	Changes
1.0	01 Jan 2026	Governance Office	Initial Issue

Distribution List

Department	Access
Board	Full
Management	Full
Departments	Relevant sections

Document Hierarchy

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Level 1 – Policy
Level 2 – Procedure
Level 3 – Work Instruction
Level 4 – Forms / Templates
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02_Investment – Policy & Procedure Architecture (RAM P&P Manual)

We now move structurally (aligned with your WBS governance logic under 01_Governance) into:

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02_Investment
│
├── 02.1 Investment Strategy & Mandate
├── 02.2 Deal Sourcing & Origination
├── 02.3 Screening & Pre-Assessment
├── 02.4 Due Diligence
├── 02.5 Financial Modeling & Valuation
├── 02.6 Investment Committee & Approval
├── 02.7 Transaction Structuring & Execution
├── 02.8 Portfolio Monitoring & Value Creation
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├── 02.10 Investment Risk & Compliance Controls
├── 02.11 Documentation & Records Management
```

Below is the **full WBS-coded breakdown** with Policies → Procedures → Forms → Controls (ISO 37301 + COSO aligned).

02.1 Investment Strategy & Mandate

02.1.1 Investment Strategy Policy

Purpose: Define investment thesis, sectors, geography, risk appetite, capital allocation model.

02.1.1.1 Portfolio Allocation Framework

- Asset class allocation
- Sector exposure limits
- Geographic diversification
- Liquidity profile

Form:

- F-02.1.1-A Investment Strategy Document
- F-02.1.1-B Sector Allocation Matrix

Controls:

- Annual board approval
- Variance trigger at ±10% allocation deviation
- Quarterly compliance review

02.1.2 Investment Mandate Procedure

- Define return expectations (IRR, MOIC, Yield)
- ESG requirements
- Capital deployment horizon
- Leverage constraints

Form: F-02.1.2-A Investment Mandate Approval Sheet

02.2 Deal Sourcing & Origination

02.2.1 Deal Sourcing Policy

Channels:

- Direct sourcing
- Brokers
- Partnerships
- Off-market opportunities

02.2.1.1 Opportunity Registration Procedure

- Register deal in Deal Log
- Assign Deal Owner
- Conflict of interest check

Form:

- F-02.2.1-A Deal Intake Form
- F-02.2.1-B COI Declaration

Controls:

- Segregation of duties
- Mandatory deal ID tracking

02.3 Screening & Pre-Assessment

02.3.1 Initial Screening Procedure

- Strategic fit score
- Financial viability score
- Risk heat map
- ESG red flags

02.3.1.1 Scoring Matrix

Score 1–5 across:

- Strategic alignment
- Market attractiveness
- Sponsor quality
- Risk profile
- Expected returns

Form: F-02.3.1-A Investment Screening Scorecard

Decision Gate:

- ≥3.5 proceed to DD
- <3.5 reject

02.4 Due Diligence

02.4.1 Due Diligence Policy

Scope:

- Financial
- Legal
- Technical
- Market
- ESG
- Tax

02.4.1.1 Financial DD Procedure

- Historical financial review
- Cash flow sustainability
- Debt structure
- Sensitivity testing

02.4.1.2 Legal DD Procedure

- Title verification
- Contract review
- Regulatory compliance

02.4.1.3 Technical DD Procedure

- Asset condition
- CapEx requirements
- Operational efficiency

02.4.1.4 ESG DD Procedure

- Environmental risks
- Governance assessment
- Social impact

Forms:

- F-02.4.1-A DD Checklist
- F-02.4.1-B Risk Register
- F-02.4.1-C ESG Assessment Sheet

Controls:

- Independent reviewer validation
- Red-flag escalation protocol

02.5 Financial Modeling & Valuation

02.5.1 Valuation Policy

Accepted methodologies:

- DCF
- Comparable transactions
- NAV
- IRR hurdle approach

02.5.1.1 Financial Model Development Procedure

- Base case
- Downside case
- Upside case
- Stress testing

Outputs:

- IRR
- NPV
- Payback
- Sensitivity tornado

Form: F-02.5.1-A Investment Model Summary Sheet

Control:

- Model audit trail
- Peer review sign-off

02.6 Investment Committee & Approval

02.6.1 IC Governance Policy

- Quorum rules
- Voting thresholds
- Escalation rules

02.6.1.1 IC Submission Procedure

- Investment memo template
- Risk summary
- ESG statement
- Financial summary

Form:

- F-02.6.1-A Investment Memo
- F-02.6.1-B IC Decision Log

Control:

- Formal minutes
- Signed resolution

02.7 Transaction Structuring & Execution

02.7.1 Structuring Policy

- Equity vs Debt

- Preferred shares
- Covenants
- Security structure

02.7.1.1 SPA / SHA Execution Procedure

- Legal drafting
- Final valuation confirmation
- Closing checklist

Form: F-02.7.1-A Closing Checklist

Controls:

- Dual signature authority
- Funds release authorization protocol

02.8 Portfolio Monitoring & Value Creation

02.8.1 Monitoring Policy

KPIs:

- Financial
- Operational
- ESG
- Risk indicators

02.8.1.1 Quarterly Review Procedure

- Variance analysis
- Cash flow monitoring
- Covenant compliance

Forms:

- F-02.8.1-A Portfolio KPI Dashboard
- F-02.8.1-B Risk Monitoring Log

Control:

- Early warning trigger system
- Portfolio rating update

02.9 Exit Strategy & Divestment

02.9.1 Exit Policy

Options:

- Trade sale
- IPO
- Secondary sale
- Asset liquidation

02.9.1.1 Exit Readiness Assessment

- Market timing
- Valuation benchmarking
- Legal preparation

Form: F-02.9.1-A Exit Readiness Checklist

02.10 Investment Risk & Compliance Controls

Aligned with:

- COSO ERM
- ISO 37301 Compliance

02.10.1 Risk Categorization

- Market risk
- Liquidity risk
- Credit risk
- Operational risk
- Regulatory risk

02.10.1.1 Risk Scoring Matrix

Likelihood × Impact

Control Framework Table Example

Risk	Preventive Control	Detective Control	Owner	Frequency

Overvaluation	Independent valuation	Model audit	CFO	Pre-IC
Legal non-compliance	Legal DD	Compliance review	Legal	Pre-closing
Concentration risk	Allocation cap	Quarterly exposure review	IC	Quarterly

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02.11 Documentation & Records Management

02.11.1 Investment Documentation Policy

- Central repository
- Version control
- Confidentiality classification

02.11.1.1 Archiving Procedure

- Secure storage
- Retention schedule (7–10 years)

Governance Linkage (Cross-Reference to 01_Governance)

Investment Stage	Approval Authority	Escalation Path
Strategy	Board	Shareholders
Deal Screening	CIO	IC
Final Approval	IC	Board
Exit	IC + Board	N/A

Deliverables + forms

1. Full Investment BPMN Diagrams (Sourcing → Exit flow)
2. Governance Risk & Control Matrix (Excel-grade structure)
3. Complete Forms Library (ready templates)
4. Investment Memo Template (consulting-grade)
5. Portfolio Dashboard KPI Architecture
6. Risk Heat Map Model
7. Digital Workflow Logic (for ERP / SharePoint)

Forms and templates

End of document